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DPO-801-E
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Luis Arrese (A): The Locomotive

Francisco Gay
Alberto Ribera
José Ramón Pin Arboledas

In March 2015, Luis was feeling worried. From his office in Valencia, he was struggling to establish priorities among the various issues that were making him anxious. He had learned that it was important to be clear in his own mind and decide accordingly. But that was easier said than done. He recalled what a consultant had once told him, when he had gone to him for advice: "The difficult thing in life, Luis, is not making decisions… The really difficult thing is living with the decisions you've made."

The doubts he had had six months earlier, as he was about to come back to Valencia, seemed to have been confirmed. That same day, a colleague (like him, a member of the management team, but one who had been his boss and whose opinion he valued) had remarked that "the locomotive" was back, referring to Luis and the energy he put into everything he did. It was said in a friendly tone, as a compliment, but Luis had been deeply unsettled. The memories, good and bad, came flooding back.

Student Years

Luis was born in Oviedo, the capital of Asturias, Spain, where he lived until he was 20 years old. He remembered how from a very young age he had had to help his father in the small family business, collecting scrap metal, plastic and cardboard, and loading and unloading trucks. By the age of 10, he had already learned that hard work was the way to get things done. Nothing in life was free.

His parents told him the only inheritance they could give him was his schooling and an upbringing that made a good person out of him. So his duty was to study and get the best grades he could. As far as they could, his parents would pay for his education. After that, it was up to him.

This case was prepared by Francisco Gay, former collaborator, and Dr. Alberto Ribera, under the supervision of Professor José Ramón Pin Arboledas. February 2023.
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IESE cases are designed to promote class discussion rather than to illustrate effective or ineffective management of a given situation.

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As a teenager, besides doing extremely well at school, Luis worked with his father on Saturdays, tutored other youth to pay his expenses, played on the school handball team, practiced judo three days a week, went to English classes three days, and was involved with the parish youth group.

Luis always told two anecdotes from this period:

- When he was 14, his parents scraped and saved to send him to summer school in Dublin to learn English. The feeling of being unable to communicate, of not being understood, of being incompetent, left a deep mark on him. He decided he would study languages. Also, he learned that what was normal in Oviedo might be incomprehensible elsewhere. He also decided that, as there was so much to learn and so little time, he would have to keep an open mind and be very quick, so as to learn as much as possible.

- The second story was from when he was 18. He was in his first year at university and about to take his first-year exams. The algebra exam was at nine in the morning. He got up at five, went with his father to load a truck with aluminum scrap in heavy snow, finished at eight, had a shower and went to the exam. When they finished, a classmate who was about to drive off in his sports car, made a joke about the grime on his hands. Luis said nothing. He just thought how different his life was from that of other people and how much he liked the feeling that, slowly but surely, he was making his own way in life. He got excellent grades, the best in his class.

Two years later, Luis moved to Barcelona, where he continued to excel at university, always at the top of his class. He was a cheerful, amusing companion, always joking with everybody. He continued with his love of handball, playing on his college team.

He graduated *summa cum laude* with a degree in physics. With a grant from the Spanish National Research Council he went on to do postgraduate work and received his doctorate *cum laude*. Of the various dedications he wrote in the copies of his thesis that he gave to friends, the one he liked best was Nietzsche's "*Was mich nicht umbringt, macht mich stärker*" ("What doesn't kill me makes me stronger").

Early Years as a Manager

While completing the research for his thesis, Luis started to think about what to do next. He decided to change direction: he would go into private industry and make a fresh start. To prepare, he combined his final year in the doctorate program of applied physics with an master's degree in international business.

Still fascinated by his experience in Dublin at age 14, he looked for a job abroad, and in September 2003, he moved to Valencia to start as export manager at the European division of MPI, a U.S. multinational. In March 2004, he was made export area manager and, from there, went through a series of promotions and job changes.

One of the first landmarks in Luis's career was in January 2012, after he had been managing teams of people for several years already.

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On that date, Luis came out of a business meeting with the HR director feeling frankly annoyed, and also quite bewildered:

> What more do they want from me? I'm already working almost an 80-hour week. I have two offices, 80 km apart, and I spend at least two night a week away from home. But even though it's physically impossible for me to put in more hours or effort, I get steamrollered! Quite honestly, I think I deal with the problems I'm given quite successfully. All right, so I put a bit of pressure on people. But we want results, don't we?

At the time, Luis was 36 years old, married and father to a son. He had been with the company for almost nine years. His wife was an independent professional with an established business and plans for expansion. She had always understood and supported him. They had both agreed that if either had to give up their professional interests to facilitate the other's career, they would come to a decision about it with the best interests of the family in mind, including considerations of finance and status.

As his career developed, Luis had made a name for himself as a results-oriented, demanding, brilliant and committed manager, but one who was not very good at understanding that others were not like him and did not necessarily have the same priorities.

The comment he had just received about his hard style—sometimes overbearing—with his collaborators, and above all, his colleagues had left him disconcerted and annoyed, though who with he could not say. In fact, it was not the first time this type of criticism had been made. The difference now was that Luis had decided some time ago that he needed to change and was frustrated to find that it was not as easy as he had expected and he was not making much progress.

Personal Improvement Plan

Some time ago, he had asked the company to hire a professional coach to help him improve aspects of his emotional intelligence and interpersonal leadership. He started the coaching process, which stopped after a few months because he couldn't combine this well with his traveling and professional demands. Some ideas from these meetings stuck in his mind:

Coach: What do you think are your main strengths in your work environment and your performance?

Luis: I think mainly I'm honest, sincere and very direct. Don't expect any double-dealing or tricky stuff from me! I try to stay in regular contact with my subordinates, give them space to make their own decisions, and help them develop personally and professionally. At the same time, I'm very hardworking and very committed to what I do. I always try to give the best of myself and constantly do better. I'm very demanding with myself. I'm never completely satisfied. I always think things can be done better.

Coach: And what do you think are your areas for improvement in that environment?

Luis: Maybe some of my supposed "virtues" could be improved, not only at work but also in my private life. I think people see me as a locomotive, someone who steams along at 200 miles an hour without noticing what's going on around him. People more or less see the logic of what I'm trying to do, but I have a very direct way of squaring up to problems, getting them across to people, and pushing for a set of clearly defined actions to get results, and that tends to make everybody bad-tempered. I even notice occasionally that people are offended by the way I say things. Even so, if I think I'm

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> driving things in the right direction, I won't let myself be distracted from my goal. On the other hand, if someone makes me see that there's a better alternative than the one I've suggested, I won't hesitate to change my decision. On a personal level, some friends have told me that sometimes it's impossible to talk to me; once I've got an idea into my head, it's impossible to make me change my mind. My wife tells me that everyone in the family insists I'm a good person; but whenever they see me getting up steam on some subject that I think is important, they all scramble to get out of my way, so as not to get run over.

During these conversations, the coach and Luis had the opportunity to pinpoint some traits that characterized Luis's relationship with his environment. One of them was his overpowering non-verbal communication. The expression on his face when he disagreed with another person's opinion was very tense, and so was his posture as he waited for his turn to talk, the way he moved his hands, etc. That, and the fact that he was very articulate and good at arguing his case, tended to result in monologues rather than arguments whenever the "locomotive" built up a head of steam.

At the same time, the pace of work he imposed on himself and, by extension, on others, and the demands he made of himself and others, meant that his subordinates were under constant pressure and felt they could never meet his expectations.

By that time, Luis was beginning to realize that his skills in the field of emotional intelligence were limited to self-motivation ("immune to discouragement" was how he described himself). In all other respects, in his relations with others, he was seriously lacking. He decided to apply himself, with all his customary determination and effort, to implementing a personal improvement plan that he had drawn up with the coach's assistance.

Transfer to England

In July 2012, Luis was promoted again. He was offered, and accepted, a job as managing director of a business unit in England. His wife supported his decision, and with the help of Luis, made a plan to maintain the hair and beauty salon, searching for a manager who she could lead offsite. They moved to England, expecting to return in three to five years.

One of the attractions of the new post was the opportunity to pursue his personal improvement plan in a different environment. It was a chance to start over, with a new team, but with a very clear idea of his principal weaknesses in the way he related to other people and what he had to do to turn those personal shortcomings into opportunities for growth.

The stay in England was shorter than expected. Due to sudden changes in the international market and growing uncertainty before a possible Brexit, MPI decided to dispose of certain businesses. Various European business units were divested, including the one managed by Luis, which was sold in September, 2014.

Before returning to Spain, Luis had a chance to discuss this latest career stage with the human resources director of the English conglomerate:

- The general conclusion was that he had exceptional management ability in terms of clarity of judgment when it came to analyzing business situations, defining problems, generating alternatives and making decisions.
- His dedication, commitment and honesty were beyond doubt.

- His weak points lay basically in the aggressive manner in which he went about implementing the measures he had decided on. That had created problems for him in England as it had in Spain.

After this process, Luis decided to accept the offer to return to the Spanish unit, in a newly created position (development director) reporting directly to the CEO. His task would be to coordinate complex, multidisciplinary projects: international investments, new business opportunities, alliances, etc.

There was one thing he had to decide, though:

> Would it be better to change company and develop my professional capabilities in a new team environment, where my past failings in human relations and people management do not cast a shadow over my future? Or would it be better to stay in the company I've worked for up until now, but making an effort to change my colleagues' and subordinates' opinion of me?

Return to Valencia

Luis had plenty of job offers. He had various offers from head-hunters, and nobody at MPI had suggested they wanted to get rid of him. But Luis thought he was coming to a point in his career and an age when a person needs to find a certain stability. "Two or three years from now, will the head-hunters still remember me?" he wondered.

At the same time, he was seriously considering starting his own company; one option would be to build up his wife's business. She had managed to keep it going while they were in England, and it could easily be expanded by creating franchises and expanding across Spain.

An important consideration in favor of the family business option was the need to look after and be close to his family, which had grown. His wife had just had their second child: a daughter. With their return to Spain (the change of environment, language, school, friends, etc.) and the birth of a sister, Luis's son had developed learning difficulties. Although it was not serious, this nevertheless meant the parents had to give the boy a little more time and attention. It made Luis feel slightly guilty.

At the same time, he felt he had not yet fulfilled his ambitions and so was reluctant to abandon his career. If he decided to battle on, though, be it at MPI or another company, what aspects of his professional improvement should he concentrate on? Specific functional management skills, or people management, leadership, motivation, and so on? He still regretted not having really mastered people management as successfully as he had other tasks he had always considered more complex and difficult.

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